

following and far too often overlooked in the chase for pure returns. What is often forgotten is just how valuable it can be to simply not lose money at the same time as traditional investments do. As we'll see later on, such a feature can greatly help overall portfolio diversification and improve risk adjusted returns in the long run.

Let's have a look at a few specific points where the markets struggled and see if our simple little trend model managed to live up to the hype of crisis alpha. First, look at Figure 5.3, where we see the quickly forgotten bear market of 1990. Did you honestly remember that there was a bear market in 1990? Well, in the second part of that year, the S&P 500 lost almost 20% in a few months and that was a dramatic event back then. While this happened, while the regular equity investors lost 20%, the trend model gained double that, for a return of 40% during this difficult time.

Next up we have the events of late 1998. Do you at least remember this one? This was when the supposedly smartest people in the world, who won the Nobel Prize for figuring out how options should be valued, failed to properly value options and lost a ridiculous amount of money when a nuclear power defaulted on their bond payments. Yes, that was an interesting ride. Figure 5.4 shows how our trend model handled that situation, and, as you see there, we were already correctly positioned and when the markets tanked, trend following boomed. At the same time, equity markets lost 20% and trend following gained nearly 30.

One bear market you surely haven't forgotten about is the dot.com crash. When reality hit, the inflated tech valuations fell hard from 2000 to 2003 (Figure 5.5). This was a multi-year bear market where it was very difficult

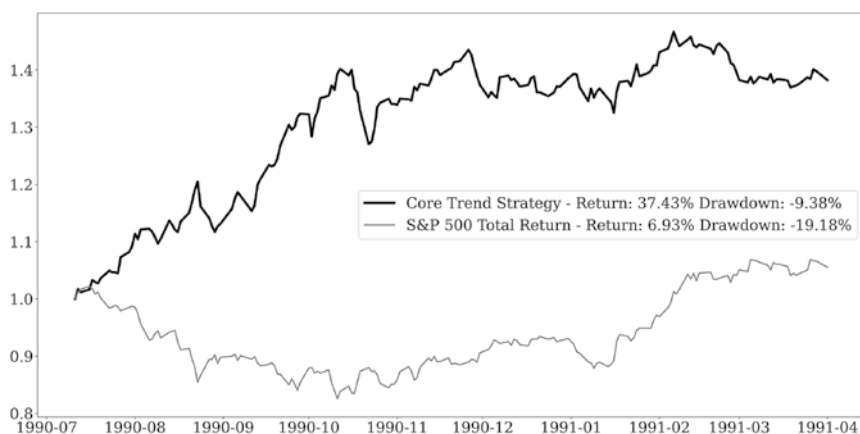


FIGURE 5.3 The bear market of 1990.